



Rwanda Trade Opportunity Report

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INTRODUCTION

It is an open fact that about 85% of Africa's merchandise are exported to other continents (African Union, 2018). Despite this fact, Africa's share in the global trade remains negligible at only 2.7% while the developing Asian region shares about 34% of global merchandise (UNCTAD, 2019). Not only is Africa's share of global trade negligible but Africa's share is also dominated by just a few countries (60% of this trade come from 5 countries - UNCTAD data 2014 – 2017). This brings to fore that besides the low intra-African trade, the majority of countries on the continent are marginal players in international trade. Literature presents mixed evidence on the benefits of economic integration, such as the Africa Continental Free Trade Agreement (AfCFTA). We however align with the suggestion that the AfCFTA has the potential to raise intra-Africa trade by about 19% (Geda and Yimer 2019).

This report utilises the SCI-TRADE tools designed by CcHUB which leveraged Facebook Social Connectedness Index data and other trade data to explain intra-African trade opportunities. We construct a pairwise Product Opportunity Index using people and products' factors (Social Connectedness and Export-Import intersection respectively) for every exportable product possible between African countries (1,579 commodities). Our index is used to rank and recommend top countries a particular country with respect to a particular commodity should consider exporting to under the AfCFTA trading terms.

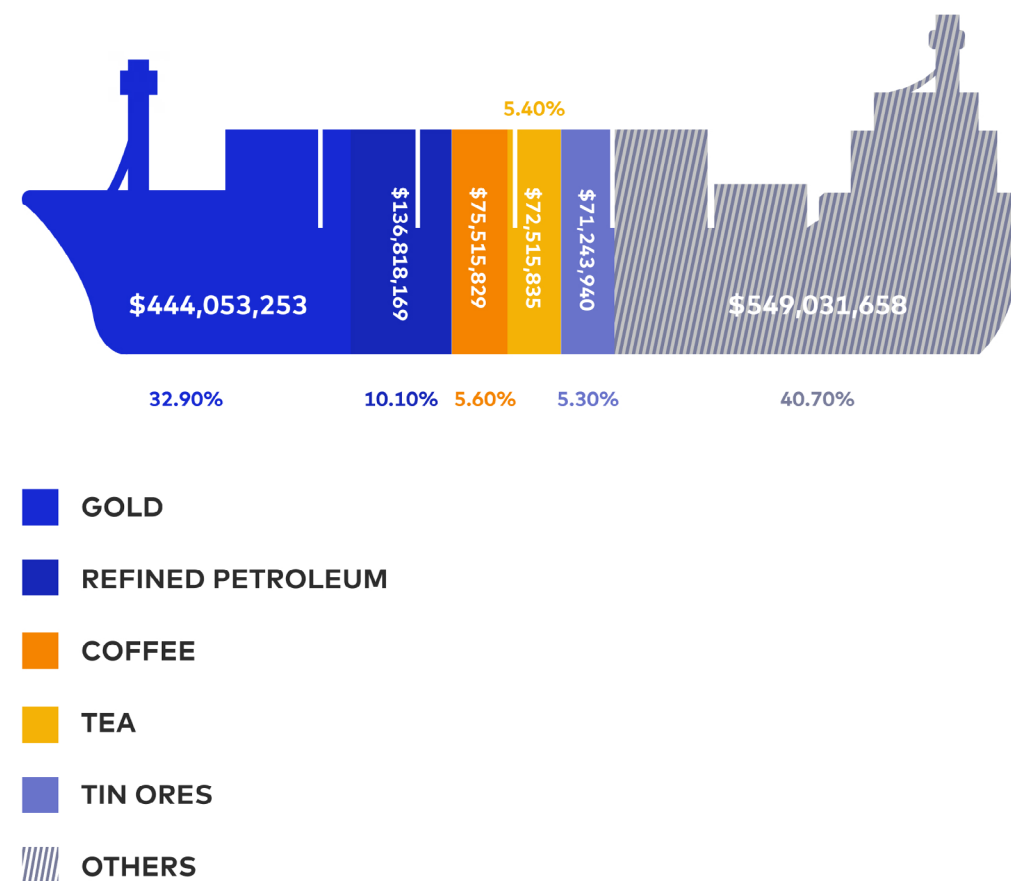
Our report on Rwanda focuses on the top 5 non-industrial exportable products or commodities with little or no barrier to entry (using 2019 data). We highlight opportunities within African countries for the 5 commodities vis-à-vis, Tea, Bran, Palm Oil, Rice, and Dried Legumes, though the country has capacity to export not less than 851 products. Using the Product Opportunity Index (POPI) designed by CcHUB. We thereafter highlight 5 top African countries for each commodity. Focusing on new opportunities or ease of doing business that AfCFTA will bring, we select the top 5 countries outside the geographical area (East Africa). We however identify all countries within the threshold of the recommended top 5 by identifying countries within the region also that Rwanda can commercially export the products to. But to take advantage of opportunities brought about by AfCFTA, we focus on the top 5 countries for the product outside the Region.



01 WHAT DOES RWANDA EXPORT GLOBALLY?

Rwanda is ranked as the second fastest growing economy in Africa with about 9.4%¹ annual growth rate and as the 35th biggest economy in Africa with about \$11.4 Billion nominal GDP². The country's export is ranked 147th in the world with an export value of \$1.35 billion. The extractive industry provides over 50% of the country's export proceeds with over 60% of total exports to only two countries³. The agricultural sector however generates about 31% of the GDP but the sector is still faced with massive opportunities for export. While a small number of commodities are currently projected as exports from the country, evidence shows that the country has the capacity to export not less than 851 commodities. Figure 1 shows the top commodities Rwanda exports globally by volume (USD Millions) and proportion.

FIG 1: What Rwanda exports globally⁴



1 The UNESCO Institute for Statistics (UIS). GDP growth (annual %): 2019.
 2 The UNESCO Institute for Statistics (UIS). GDP at market prices: 2019.
 3 United Arab Emirates (34.8%) and Democratic Republic of Congo (27.5%).
 4 The Observatory of Economic Complexity. [Rwanda: 2019](#)

02 RWANDA'S CURRENT INTRA-AFRICA TRADE

FIG 2: Top 5 commodities that Rwanda trades within Africa

Data:

- Volumes/Trade amount⁵

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Rwanda trades within Africa?

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86% of export proceeds and about 9% of the nominal GDP for the country. While the country's global export is dominated by the mining and the agricultural sectors, the country's export to other African countries is dominated by the agricultural sector. The top 5 commodities exported to other African countries are Hides and Skin, Coffee, Tea, Milk and Scrap Iron (as shown in fig 2). However, they constitute less than 2% of export proceeds and less than 0.2% of the GDP. The relatively low intra-African trade is equally evident in the fact that Rwanda facilitates about 0.04% of Other Hides and Skin, 0.7% of Coffee, 0.5% of Tea, 1% of Milk and less than 0.2% of Scrap Iron of African imports in those selected items. This clearly relays the massive opportunities within Africa for the top 5 commodities the country currently trades within Africa.

5 OEC, country to country reports